

FX Daily: US price check this week

Investor hopes of a ceasefire deal ahead of President Trump's trip to China have yet to materialise, with few signs of conciliation on core demands from either the US or Iran. Oil prices have gapped up 4% in Asia and equities are called a little lower. Barring a surprise peace deal, the focus this week will be on US April CPI data. Firm data can keep the dollar bid



The highlight of the data calendar this week will be Tuesday's US CPI for April

USD: Little progress in Middle East, focus on inflation

The week starts with the dollar a little stronger across the board. Last week's optimism that a Middle East peace deal could be reached ahead of President Trump's visit to China (scheduled to start this Thursday) has been dashed. The President branded Iran's latest offer as 'totally unacceptable'. Barring some intense behind-the-scenes pressure from China to secure a deal, the market will continue to price an impasse, higher oil prices and a wave of global inflation. We could hear more about the drawdown in global oil supplies and a 'tipping point' about to be reached when the IEA releases its monthly Oil Market Report (OMR) this Wednesday.

The fallout of the Middle East energy shock continues to reverberate around the global economy and the highlight of the data calendar this week will be tomorrow's release of US CPI for April. Headline inflation is expected to rise to 3.7% year-on-year (3.3%) while the core rate should rise to

2.7% (2.6%). With the US labour market so far [holding up](#) and the unemployment rate staying low, the Federal Reserve is going to have to sound cautious. Indeed, money markets have flipped back to considering Fed hikes towards the end of this year. From the Fed side, we will hear from two of the three hawkish dissenters at the April FOMC meeting, Neel Kashkari and Beth Hammack. Additional US data this week comes in the form of PPI data on Wednesday and April Retail Sales on Thursday – with the latter expected to have held up well again as the stock market hits new highs.

Given that the full force of the stagflationary shock has yet to hit, we struggle to see the dollar selling off in a sustained fashion just yet. That probably means that DXY can bounce around in a 98.00-98.50 range for a while longer, while USD/JPY can creep back to 158 even though US Treasury Secretary Scott Bessent is in Japan early this week and will probably deliver supportive words to Japan's FX intervention campaign.

Chris Turner

EUR: More consolidation

EUR/USD has been holding up quite well, largely on the back of the recent pro-risk, softer dollar environment. Here, strong AI stories in Asia (Korea and Taiwan), plus USD/CNY trading through 6.80 have really been the dominant drivers and provided support to the emerging currencies around the world. The outlook for the euro has been less encouraging, however, where the activity data has been poor, and it is only the prospect of European Central Bank hikes this summer that is preventing EUR/USD from dropping back to 1.15.

With oil prices staying high, expect the ECB to continue to talk tough and speeches by Christine Lagarde and Philip Lane this Wednesday may firm up the view that the ECB will hike 25bp on 11 June. That is currently priced with an 82% probability.

Unless there is a breakthrough on a peace deal this week, we struggle to see EUR/USD breaking above 1.18 and see greater risk of sub 1.1700 driven by higher US prices and more hawkish Fed pricing.

Chris Turner

GBP: PM Starmer tries to save himself

Sterling is softening a little as markets digest the fall-out from local UK elections held late last week. While Labour losses were not quite as bad as feared, they have failed to quell speculation over a Labour leadership contest and a clear leftward drift in government policy. Manchester Mayor Andy Burnham remains waiting in the wings and the markets will react to any news such as Burnham resigning as mayor or a sitting Labour MP resigning to make way for Burnham's return to parliament.

The key focus this morning will be a policy speech from PM Keir Starmer on how he plans to address Labour's falling popularity and take the party into the next election. The wild card here is how far he intends to embrace a return to Europe, whether that be rejoining the customs union or more controversially, the single market. It will be tough for Starmer to win over his critics, and we suspect EUR/GBP finds it way back to the overnight high at 0.8675.

Chris Turner

📈 CEE: The forint is riding a wave of optimism

After a busy week for central banks, we are looking forward to a more relaxed few days in the CEE region. Today, retail data for March will be published in the Czech Republic. The flash GDP report for 1Q and industrial production data indicated that the economy had already slowed down even before the impact of the US-Iran conflict. The Czech National Bank will discuss a new forecast with analysts today, where we could hear more views from the Board after last week's meeting, which ended with a dovish bias.

On Wednesday, the final inflation figures in the Czech Republic will be published, where the focus will be on core inflation, which we believe increased from 2.9% to 3.0% year-on-year. On Thursday, Poland will publish the flash estimate of GDP for 1Q26, where we expect a slowdown from 4.1% to 3.8% YoY compared to the previous quarter. On Friday, we will see the final April inflation figures in Poland, which should be confirmed at 3.2% YoY and the CNB will publish the minutes of the last meeting.

Along with all emerging markets, CEE FX is enjoying the positive sentiment coming from the global story. EUR/HUF broke another record low last week, closing below 355 on Friday. On Saturday, a new Prime Minister Peter Magyar was appointed in Hungary from whom the market expects a quick unlocking of EU funds and the start of the EUR adoption process. Despite the already heavy long positioning, it seems that the market has no problem moving forward and our mid-year forecast at 350 will probably be reached earlier than we expected. On the other hand, the appointment of the PM itself may herald the end of positive headlines and the market may buy the rumour and sell the fact. Still, we lack a government plan that shows some fiscal policy consolidation, an outline of the EUR adoption plan, and steps towards the actual unlocking of EU funds. Therefore, we believe that the market can ride the wave of optimism for a while longer before it starts to address the details here.

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